
PalmSource™ 99
3Com
More connected.

PalmSource™ 99

Palm Computing and the Competition

Michael Mace
Chief Competitive Officer

3Com
More connected.

Handheld Jeoparody

Bugs & Beta Cycles

Pleasing Platforms

Rumor Central

Low-Impedance Dielectric Materials

Famous US Presidents

Bugs & Beta Cycles	Pleasing Platforms	Rumor Central	Low-Impedance Dielectric Materials	Famous US Presidents
$100	$100	$100	$100	$100
$200	$200	$200	$200	$200
$300	$300	$300	$300	$300
$400	$400	$400	$400	$400
$500	$500	$500	$500	$500

It’s the scariest concept in computing today

Bil	$300
Dave	$700
Scot	$500
Allen	$300

Bugs & Beta Cycles	Pleasing Platforms	Rumor Central	Low-Impedance Dielectric Materials	Famous US Presidents
$100	$100	$100	$100	$100
	$200	$200	$200	$200
$300	$300	$300	$300	$300
$400	$400	$400	$400	$400
$500	$500	$500	$500	$500

The dog food bowl

Bil	$300
Dave	$700
Scot	$700
Allen	$300

Bugs & Beta Cycles	Pleasing Platforms	Rumor Central	Low-Impedance Dielectric Materials	Famous US Presidents
$100	$100	$100	$100	$100
		$200	$200	$200
$300	$300	$300	$300	$300
$400	$400	$400	$400	$400
$500	$500	$500	$500	$500

It’s the only thing shorter than Robin Abrams’ tenure at Palm

Bil	$300
Dave	$700
Scot	$300
Allen	$700

Bugs & Beta Cycles	Pleasing Platforms	Rumor Central	Low-Impedance Dielectric Materials	Famous US Presidents
$100	$100	$100	$100	$100
		$200	$200	$200
$300	$300	$300	$300	$300
	$400	$400	$400	$400
$500	$500	$500	$500	$500

The most disastrous flaming gasbag since the Hindenburg

Bil	$800
Dave	$200
Scot	–$200
Allen	$700

Bugs & Beta Cycles	Pleasing Platforms	Rumor Central	Low-Impedance Dielectric Materials	Famous US Presidents
$100	$100	$100	$100	$100
		$200	$200	$200
$300	$300	$300	$300	$300
	$400	$400	$400	$400
	$500	$500	$500	$500

It’s a tired old catch phrase that you hear every year at about this time

Bil	$700
Dave	$100
Scot	−$200
Allen	$800

Bugs & Beta Cycles	Pleasing Platforms	Rumor Central	Low-Impedance Dielectric Materials	Famous US Presidents
$100	$100		$100	$100
		$200	$200	$200
$300	$300	$300	$300	$300
	$400	$400	$400	$400
	$500	$500	$500	$500

His face appears on the quarter

Bil	$700
Dave	$0
Scot	–$300
Allen	$800

Bil	$700
Dave	$500
Scot	$500
Allen	$800

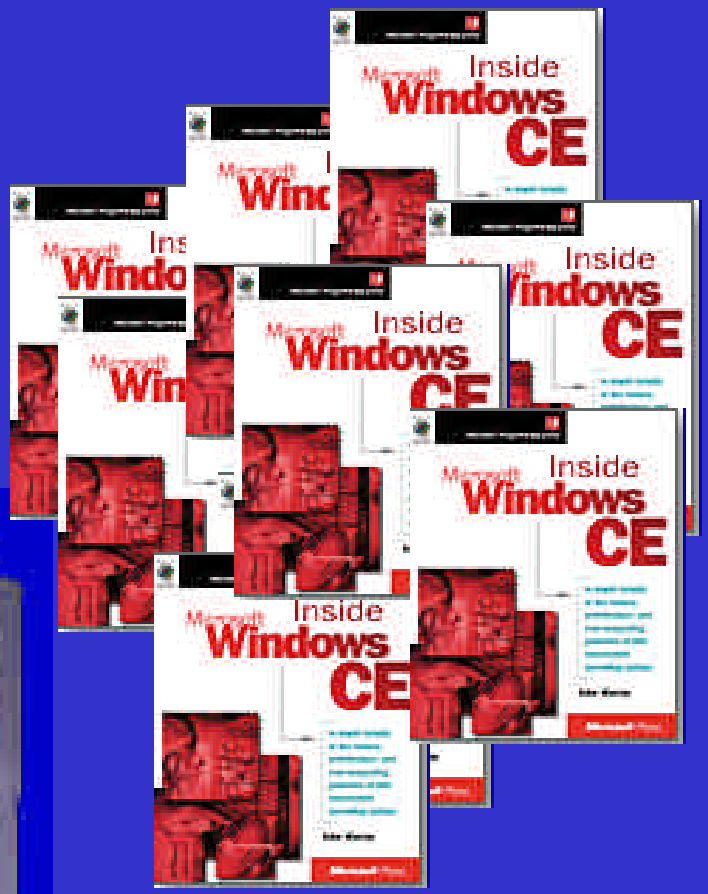
Final Jeoparody

Marketing 101

They are the three best ways to win leading market share




I 8
Symbian


Inside
Windows
CE

They are the three best ways to win leading market share

Bil	$0
Dave	$200
Scot	$0
Allen	$1,300

PalmSource™ 99

Palm Computing and the Competition

Michael Mace
Chief Competitive Officer

3Com
More connected.

Questions

PalmSource 99

- How do you compete with Microsoft?
- Aren't you just like Apple?
- What is it with those Symbian guys?
- What about (Java/Linux/Aperios/NetFront/Phone.com/Pixo)?
- Isn't Handspring a threat?

- Where is the market going?
- What are the opportunities?
- Why Palm?

Agenda

PalmSource 99

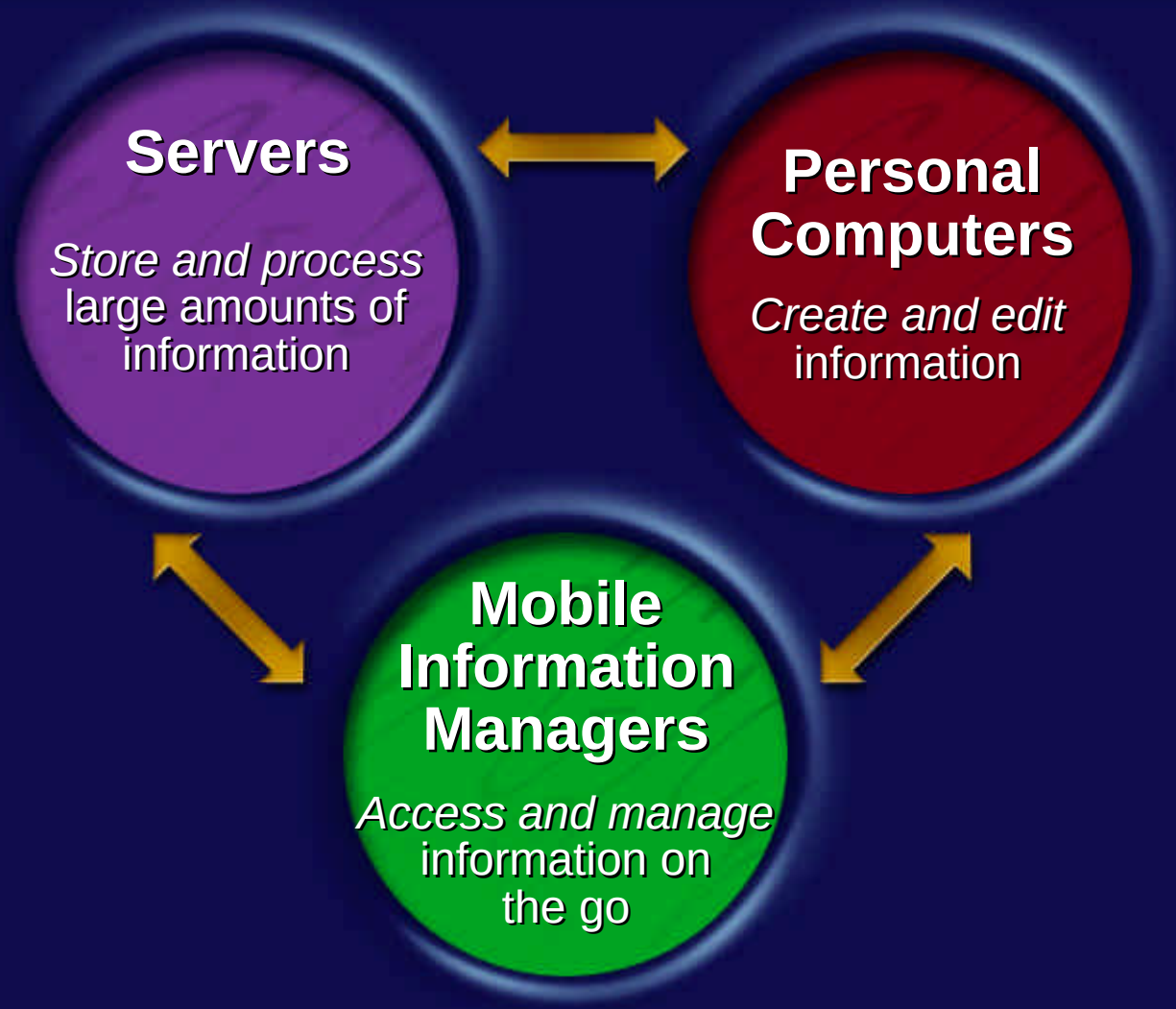
- How the market works
- How Palm stacks up today
- What happens next?

Agenda

PalmSource 99

- How the market works
- How Palm stacks up today
- What happens next?

A New Computing Paradigm



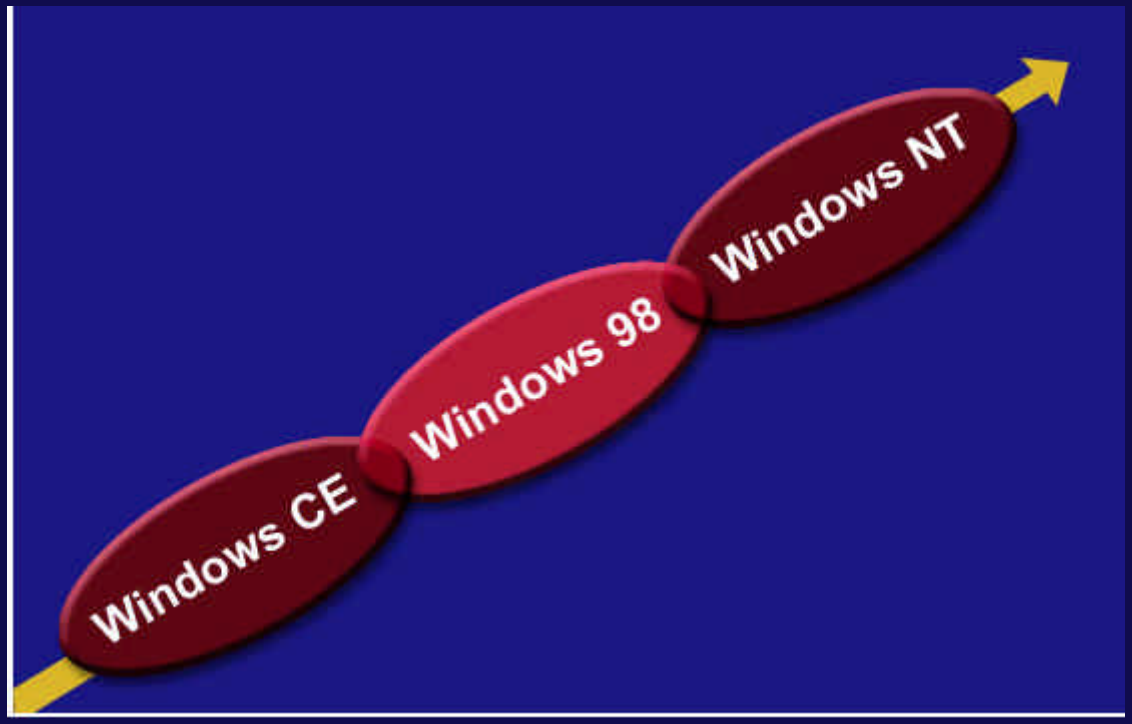
Ground Rules: Not Price vs. Performance

PalmSource 99

- Technology hasn't plateaued
- Simplicity
  - Instant access to information
  - Beyond "ease of use"
- Wearability
  - Making it so light and small you carry it all the time
  - Size, weight more important than color, features
- Mobility
  - Access information anytime, anywhere
  - Palm VII, Nokia

Not Everyone Agrees

Power



Revenue per unit sold

Assumptions

PalmSource 99

- Other markets are extensions of the desktop PC paradigm
  - “Palm-sized PC”
  - “Think about it—you’re trapped….seven miles to get to my job took me an hour either way, and I just sat there….Think about what you could be doing during that time….you could receive your mail in the car, send mail in the car.” —Bill Mitchell
- Lifestyle and psychology
  - Is the problem really that you’re trapped without a PC?
- *It’s a battle of philosophy*

Ask the Experts

PalmSource 99

"I don't know if your honor ever has used a Palm Pilot, but you get addicted and then you keep upgrading…. This computer is far more powerful than things we were programming for ten years ago. The difference is—what's the operating system? What's the chip? See, it's a totally different focus. You don't think about this, you know, macho stuff if I bought a Pentium 33 with gigabytes of—you know, all this stuff. I mean, it's a Palm Pilot. It keeps my addresses and my calendar. It keeps notes….

This is a computer cast in the light of a different world….

So is it the same as a computer? It's different."

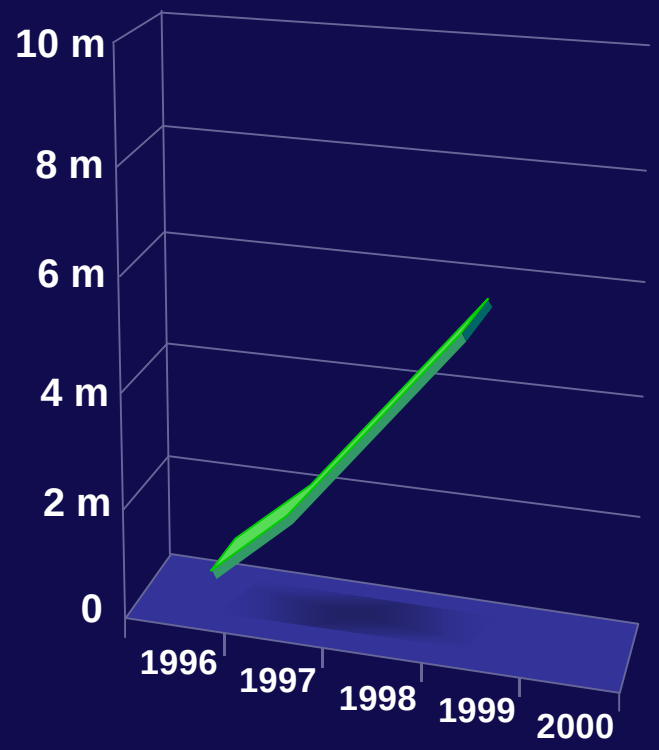
—Gordon Eubanks, former CEO, Symantec

Agenda

PalmSource 99

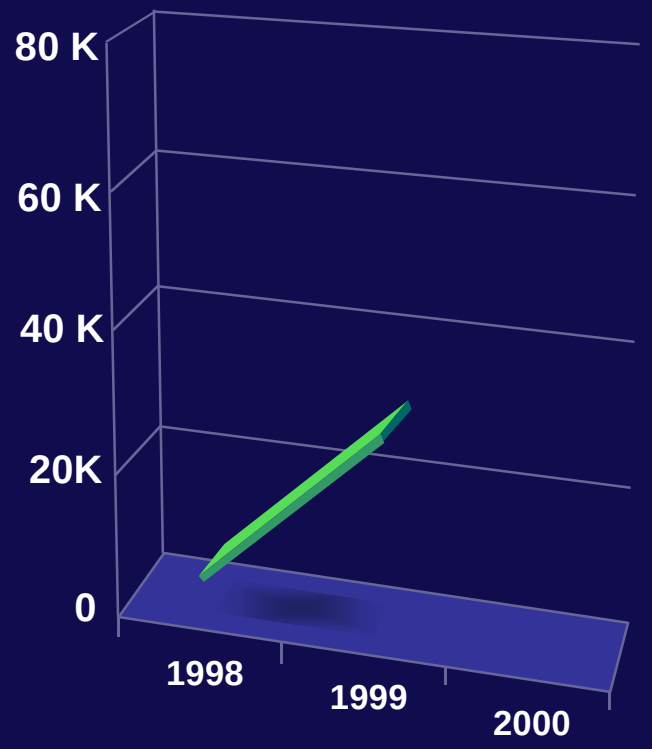
- How the market works
- How Palm stacks up today
- What happens next?

Installed Base



- Installed base almost doubled in last year
  - Current total ~5m
  - IDC and Palm data

Registered Developers

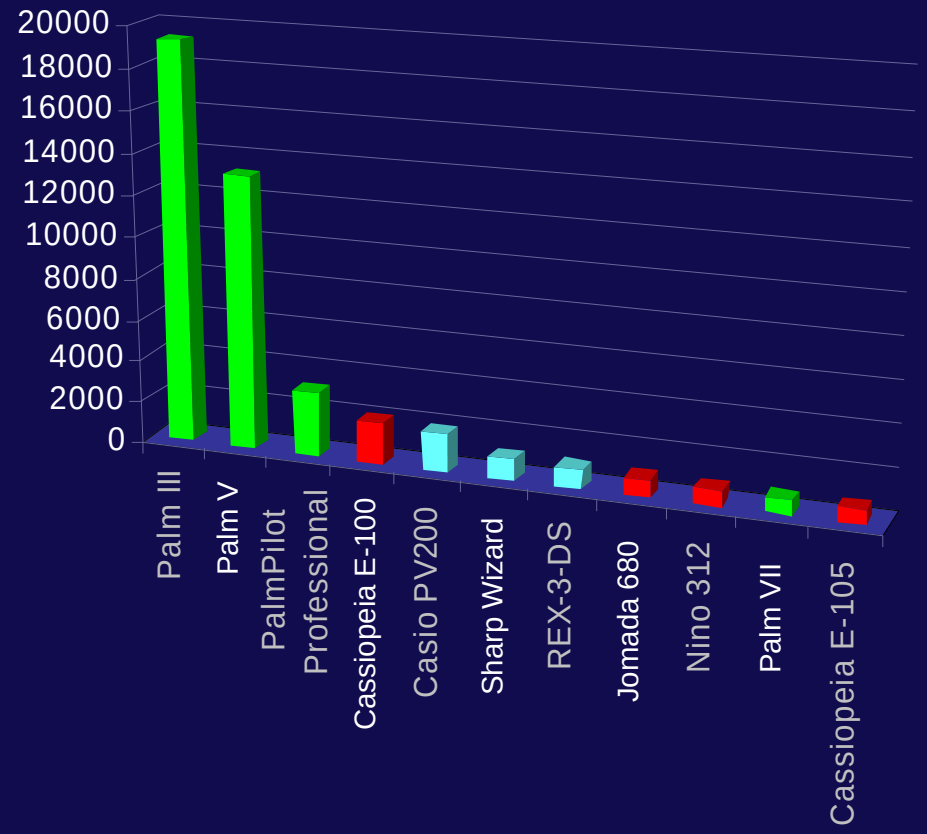


- 536% increase, Dec. 1998 – Oct. 1999
  - Palm solution provider database

US retail unit sales

PalmSource 99

- July 1999
  - PC Data



Examples

- Appliance interface



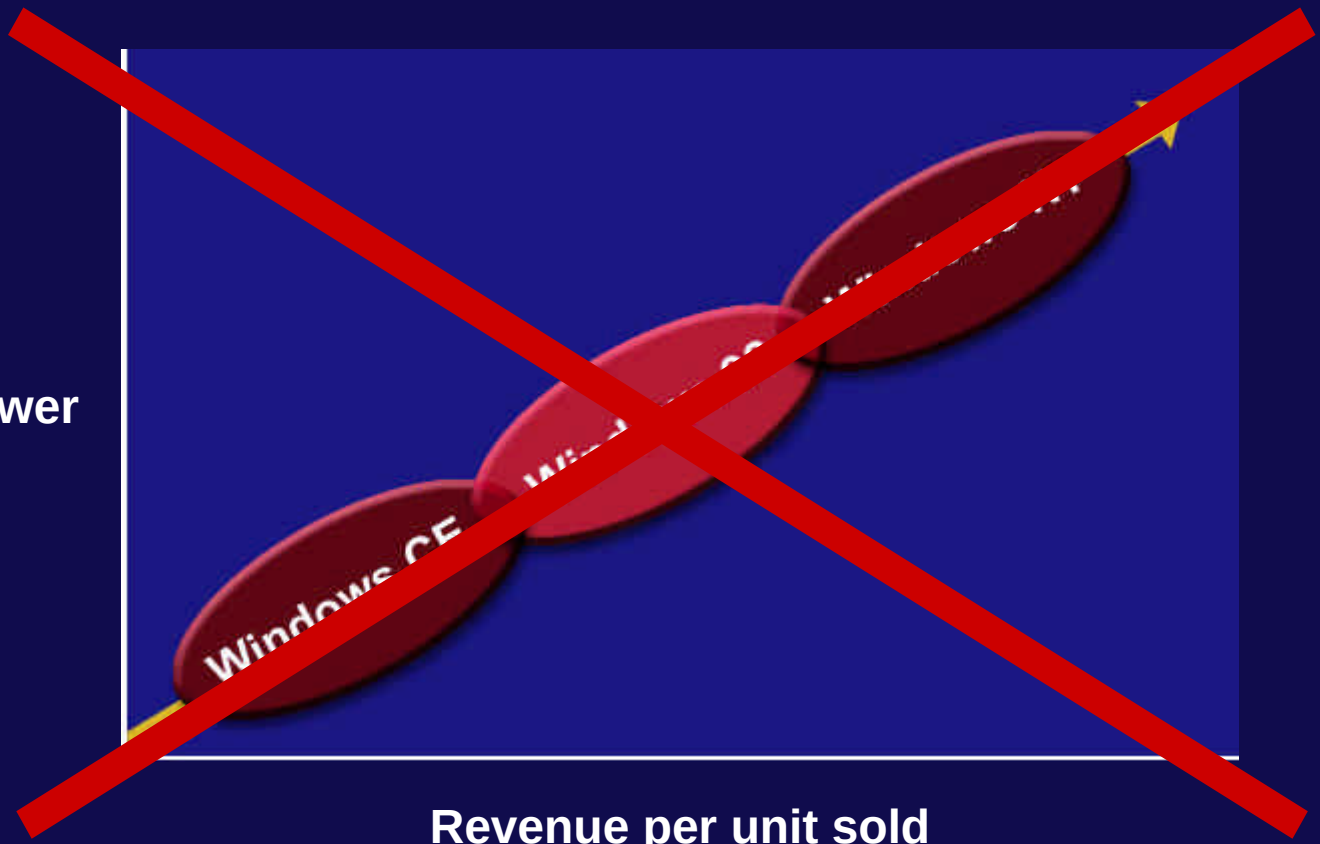
Intelligent Compression

- Which has the larger screen?

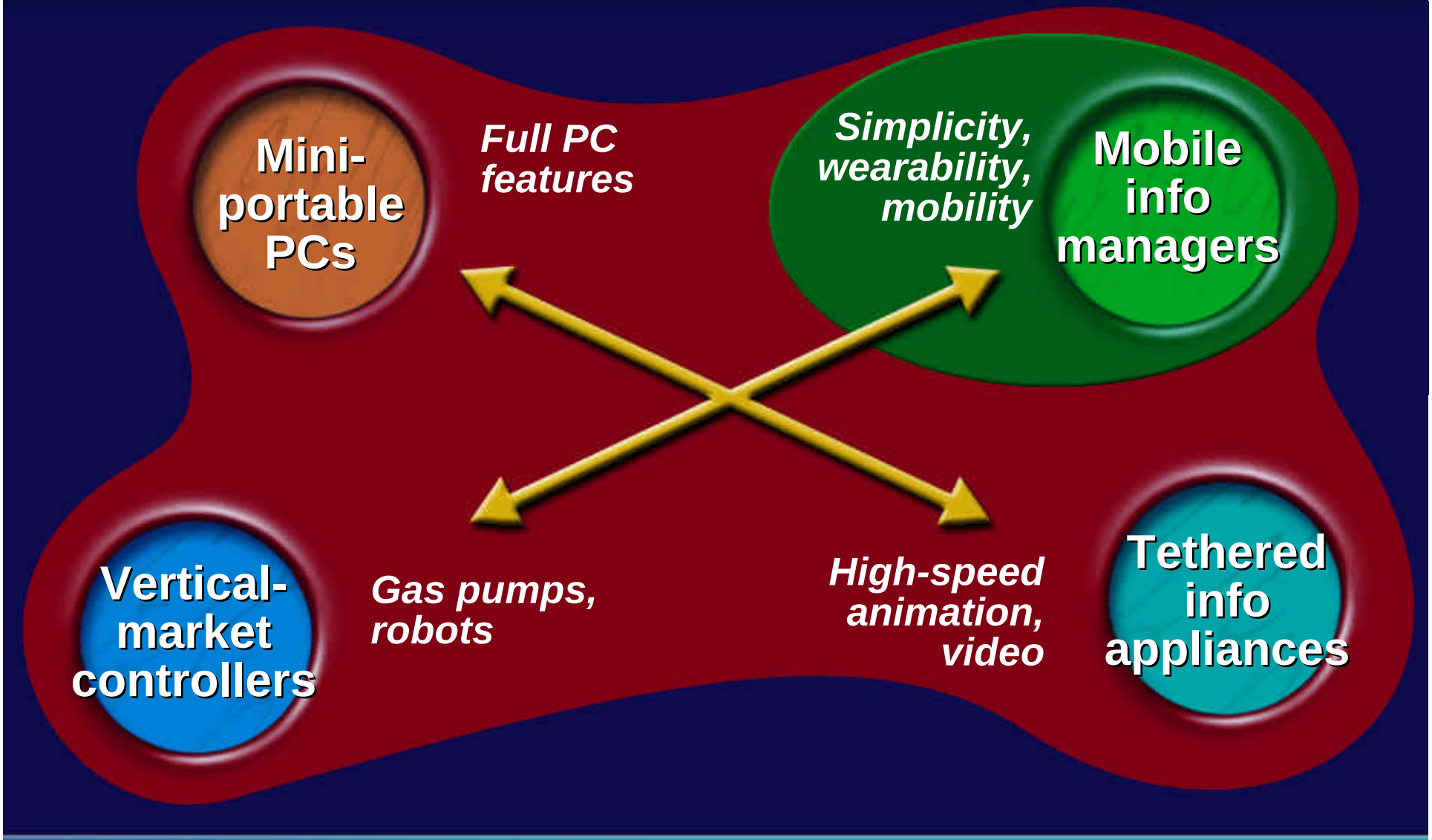




Why?



Agenda Conflict



Organizational Conflict

PalmSource 99

- Core CE development is part of the business applications division
- With Office, Exchange
- Comfort

Agenda

PalmSource 99

- How the market works
- How Palm stacks up today
- What happens next?

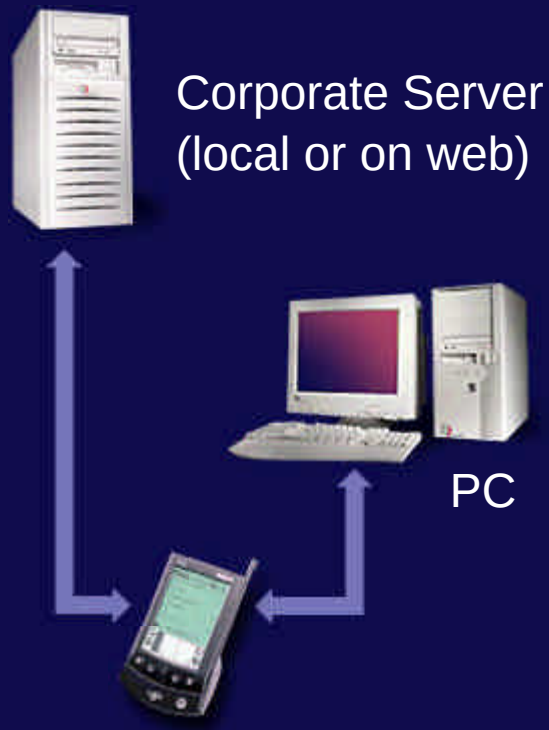
We Know…

- The competition will improve
- The issue isn't just who has the nicer device
- All they have to do is get close enough

- Battlegrounds
  - Enterprise, Web, wireless, business model

Enterprise

- From PIM to corporate info manager



Corporate/IS Management (standards, support)

Departmental Managers (budget)

Users

Enterprise Priorities

PalmSource 99

- Infrastructure: Support, management tools, security, development tools
- Alliances
  - Key vendors: SAP, Oracle, Sybase, Remedy, Computer Associates, Vantive, PeopleSoft, Lotus, Sun, etc.
  - Tight, win-win relationships
- What we need from you
  - Understand that it's not a sell-out
  - Help spread the word

Web

- From PIM to info gateway



- Web is the server
- AOL
- Others
  - Calendaring
  - Information management
- Not Web Clipping vs. WAP vs. HTML
- "The market for low-cost, always-connected handheld devices is potentially much larger than the market for desktop PCs." --Red Herring

Wireless

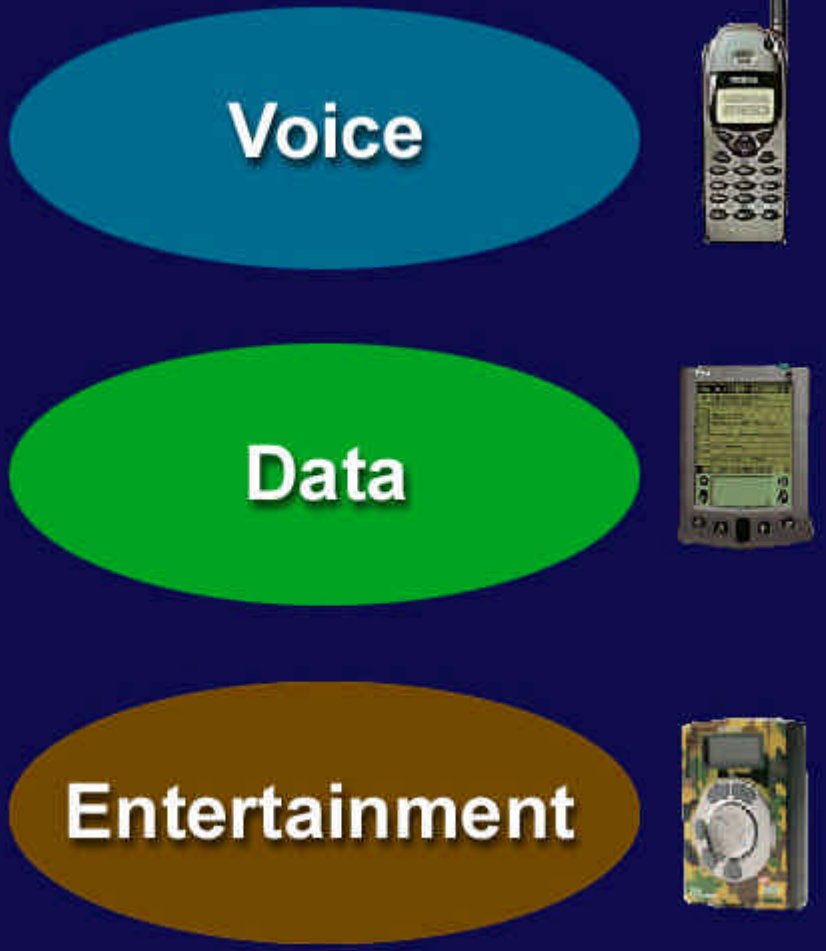
PalmSource 99

- Someday, all Palm systems will be connected continuously
- No one knows which form factor will win
  - Converged single product vs. two-piece facilitated by Bluetooth
    - Printer/fax vs. Stereo/TV
  - We'll cover all the bases
- Two opportunity areas
  - Connection to the network
  - Local wireless
    - Source for a killer app?

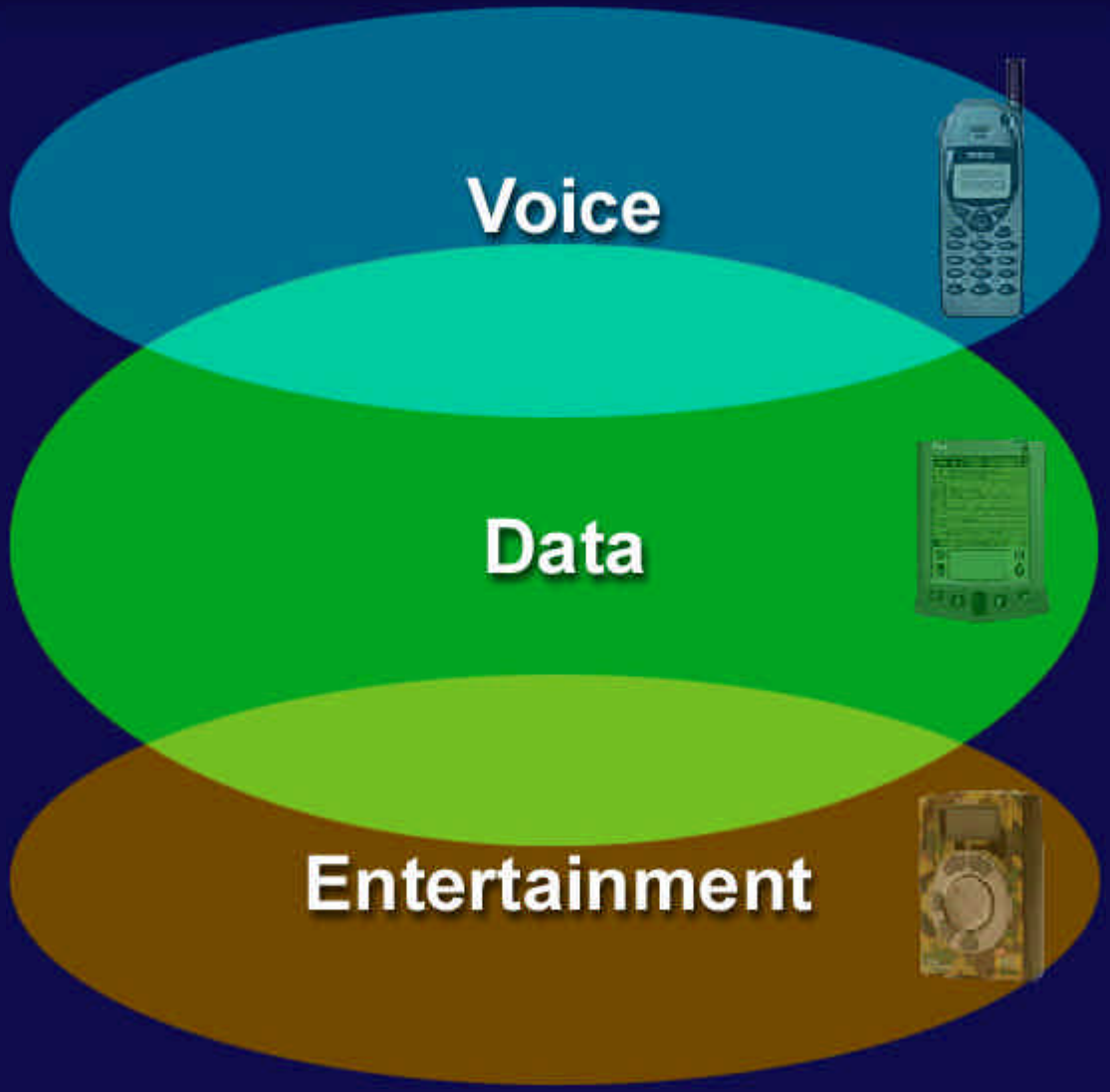
Licensing

PalmSource 99

- Why‘



Future



Business Model

PalmSource 99

- Doing licensing right
  - Separating the businesses
    - Branding, bundling
  - Scaling the family appropriately
  - Encouraging innovation
    - Both by Palm and licensees
    - Balance between standards and innovation
- Growing worldwide
- Infrastructure
  - Catching up with growth
  - Taking care of you


Microsoft


FUJITSU


COMPAQ


SONY


PHILIPS


DELL


HEWLETT
PACKARD
Expanding Possibilities


EPSON


ERICSSON


intel


symbian

Remember

PalmSource 99

- De facto standard for a new form of computing
- Five million users
- #1 in the US and Europe
- Great lineup of enterprise partners
- Rapidly maturing infrastructure
- Thousands of great applications
- 23,000+ enthusiastic developers


PalmSource™ 99
3Com
More connected.


PalmSource™ 99
3Com
More connected.